

ORIGINAL

(S E R V E D)
(April 5, 2002)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

DOCKET NO. 02-06

Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines -
Possible Violations of Section 10(a)(1) of the Shipping Act of 1984

ORDER OF INVESTIGATION AND HEARING

Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines (“Hudson”), is a tariffed and bonded ocean transportation intermediary, non-vessel-operating common carrier (“OTI/NVOCC”) located at 8/F EIB Centre, 40-44 Bonham Strand East, Sheung Wan, Hong Kong Island, Hong Kong. Hudson holds itself out as an NVOCC pursuant to its automated tariff located at <http://www.otbusa.com>. Hudson currently maintains an NVOCC bond, No. 8941201, in the amount of \$150,000 with Washington International Insurance Company, located in Itasca, Illinois.

Hudson is a private limited company which registered in Hong Kong on January 29, 1988, business registration number 208888. Chi Kwan “Sunny” Ng and his spouse Yin King “Rosa” Fong are the founders of Hudson and currently serve as Hudson’s Chief Executive Officer and Managing Director, respectively.

Section 10(a)(1) of the Shipping Act of 1984 ("1984 Act"), 46 U.S.C. app. 1709(a)(1), prohibits a person from knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or by any other unjust or unfair device or means, obtaining or attempting to obtain ocean transportation for property at less than the rates or charges that would otherwise be applicable. It appears that Hudson knowingly and willfully obtained ocean transportation on behalf of non-affiliated NVOCCs by permitting those NVOCCs to utilize Hudson's service contracts in order to obtain transportation for their respective shipments at rates less than those that should have been applicable. This was accomplished through a scheme initiated by Hudson whereby Hudson deceived the ocean common carriers as to the true identity of the shipper, thereby obtaining transportation for other NVOCCs at rates lower than those NVOCCs could have obtained directly from the carriers by shipping under the carriers' respective tariffs.

Hudson had knowledge that its signed service contracts did not recognize these NVOCCs as signatories or affiliates entitled to obtain transport under the service contracts, and that they explicitly prohibited Hudson from permitting assignment or co-loading thereunder. Hudson benefitted not only directly but also indirectly from the successful implementation of its scheme. Hudson demanded and received compensation **from** the NVOCCs for each instance in which the NVOCCs assumed Hudson's identity and used its service contracts. In addition, as a result of allowing other NVOCCs to use its service contracts, Hudson avoided the payment of liquidated damages for failure to ship the minimum quantity required under one service contract.

Under section 13 of the 1984 Act, 46 U.S.C. app. 1712, a person is subject to a civil penalty of not more than \$25,000 for each violation knowingly and willfully committed, and not more than \$5,000 for other violations.’

NOW THEREFORE, IT IS ORDERED, That pursuant to sections 10, 11, and 13 of the 1984 Act, 46 U.S.C. app. 1709, 1710 and 1712, an investigation is instituted to determine:

1) whether Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines violated section 1 O(a)(1) of the 1984 Act by knowingly and willfully, directly or indirectly, by means of false **billing**, false classification, false weighing, false report of weight, false measurement, or by any other unjust of unfair device or means, obtaining or attempting to obtain ocean transportation for property at less than the rates or charges that would otherwise have been applicable;

2) whether, in the event violations of section 1 O(a)(1) of the 1984 Act are found, civil penalties should be assessed against Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines and, if so, the amount of penalties to be assessed; and

3) whether, in the event violations are found, an appropriate cease and desist order should be issued.

IT IS FURTHER ORDERED, That a public hearing be held in this proceeding and that this matter be assigned for hearing before an Administrative Law Judge of the Commission’s Office of Administrative Law Judges in compliance with Rule 61 of the Commission’s Rules of Practice and Procedure, 46 CFR 502.61. The hearing shall include oral testimony and cross-examination in the discretion of the presiding Administrative Law Judge only **after** consideration has been given by the parties and the presiding Administrative Law Judge to the use of alternative forms of dispute

‘The maximum penalties are raised by 10 percent for violations occurring after November 7, 1996. See *Inflation Adjustment of Civil Monetary Penalties*, 27 S.R.R. 809 (1996).

resolution, and upon a proper showing that there are genuine issues of material fact that cannot be resolved on the basis of sworn statements, affidavits, depositions, or other documents or that the nature of the matters in issue is such that an oral hearing and cross-examination are necessary for the development of an adequate record.

IT IS FURTHER ORDERED, That Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines is designated as Respondent in this proceeding;

IT IS FURTHER ORDERED, That the Commission's Bureau of Enforcement is designated a party to this proceeding;

IT IS FURTHER ORDERED, That notice of this Order be published in the Federal Register, and a copy be served on parties of record;

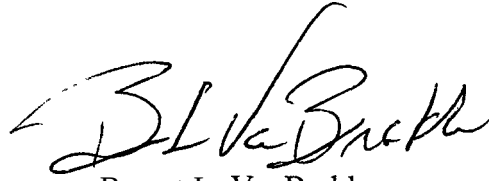
IT IS FURTHER ORDERED, That other persons having an interest in participating in this proceeding may file petitions for leave to intervene in accordance with Rule 72 of the Commission's Rules of Practice and Procedure, 46 CFR 502.72;

IT IS FURTHER ORDERED, That all further notices, orders and/or decisions issued by or on behalf of the Commission in this proceeding, including notice of the time and place of hearing or prehearing conference, shall be served on all parties of record;

IT IS FURTHER ORDERED, That all documents submitted by any party of record in this proceeding shall be directed to the Secretary, Federal Maritime Commission, Washington, D.C. 20573, in accordance with Rule 118 of the Commission's Rules of Practice and Procedure, 46 CFR 502.118, and shall be served on all parties of record; and

IT IS FURTHER ORDERED, That in accordance with Rule 6 1 of the Commission's Rules of Practice and Procedure, the initial decision of the Administrative Law Judge shall be issued by April 7, 2003, and the final decision of the Commission shall be issued by August 4, 2003.

By the Commission.*



Bryant L. VanBrakle
Secretary

*Commissioner John A. Moran not participating.

FEDERAL MARITIME COMMISSION

DOCKET NO. 02-06

HUDSON SHIPPING (HONG KONG) LTD. D/B/A HUDSON EXPRESS LINES
POSSIBLE VIOLATIONS OF SECTION 10(a)(1) OF THE SHIPPING ACT
OF 1984

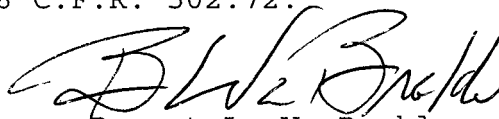
Notice of Investigation and Hearing

Notice is given that, on April 5, 2002, the Federal Maritime Commission ("Commission") served an Order of Investigation and Hearing on Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines ("Hudson").

Hudson holds itself out as a non-vessel-operating common carrier ("NVOCC"). It appears that Hudson obtained ocean transportation on behalf of other NVOCCs by permitting them to use its service contracts to transport their shipments at lower rates than should have been applicable.

This proceeding seeks to determine whether Hudson violated section 10(a)(1) of the 1984 Act and, in the event violations are found, whether penalties should be assessed and, if so, in what amount and whether a cease **and desist** order should be issued.

Any person having an interest in participating in this proceeding may file a petition for leave to intervene in accordance with Rule 72 of the Commission's Rules of Practice and Procedure, 46 C.F.R. 502.72.


Bryant L. VanBrakle
Secretary

FEDERAL ELECTION COMMISSION**Sunshine Act; Meeting**

AGENCY: Federal Election Commission.
DATE & TIME: Tuesday, April 23, 2002 at 10 a.m.

PLACE: 999 E Street, NW., Washington, DC

STATUS: This meeting will be closed to the public.

ITEMS TO BE DISCUSSED:

Compliance matters pursuant to 2 U.S.C. § 437g.

Audits conducted pursuant to 2 U.S.C. § 437g, § 438(b), and Title 26, U.S.C.

Matters concerning participation in civil actions or proceedings or arbitration.

Internal personnel rules and procedures or matters affecting a particular employee.

DATE & TIME: Thursday, April 25, 2002 at 10 a.m.

PLACE: 999 E Street NW., Washington, DC (Ninth Floor)

STATUS: This meeting will be open to the public.

ITEMS TO BE DISCUSSED:

Correction and Approval of Minutes.

Draft Advisory Opinion 2002-04: Austin, Nichols & Co., Incorporated; d/b/a **Pernod Ricard USA**, by counsel, Brett G. Kappel.

Administrative Matters.

PERSON TO CONTACT FOR INFORMATION:

Mr. Ron Harris, Press Officer,
 Telephone: (202) 694-1220.

Mary W. Dove,

Secretary of the Commission.

[FR Doc. 02-9624 Filed 4-16-02; 11:19 am]

BILLING CODE 6715-01-M

FEDERAL MARITIME COMMISSION**Notice of Agreements Filed**

The Commission hereby gives notice of the filing of the following agreement(s) under the Shipping Act of 1984. Interested parties can review or obtain copies of agreements at the Washington, DC offices of the Commission, 800 North Capitol Street, NW., Room 940. Interested parties may submit comments on an agreement to the Secretary, Federal Maritime Commission, Washington, DC 20573, within 10 days of the date this notice appears in the **Federal Register**.

Agreement Nos.: 011560-004, 011561-004, 011562-005.

Title: The Transatlantic Bridge Agreement; COSCO/KL Transatlantic Vessel Sharing Agreement; KL/YM Transatlantic Vessel Sharing Agreement.

Parties:

COSCO Container Lines Company, Limited, Kawasaki Kisen Kaisha, Ltd., **Yangming Marine Transport Corporation.**

Synopsis: The proposed agreement modifications add ports in the Mediterranean to the geographic scope of the three agreements.

Agreement No.: 011637-007.

Title: AMPAC Cooperative Working Agreement.

Parties:

TMM Lines Limited, LLC, Hamburg-Sdd, Maruba S.C.A., Compania Chilena De Navegacion Interoceanica, S.A.

Synopsis: The proposed amendment adds Compania Chilena De Navegacion Interoceanica, S.A. as a party, revises the number of vessels to be provided by each party, and amends the allocation of space among the parties.

Agreement No.: 011737-005.

Title: The MCA Agreement.

Parties:

Alianza Navegacao e Logistica Ltda., Antillean Marine Shipping Corporation, CMA CGM, S.A., Companhia Libra de Navegacao, Compania Sud Americana de Vapores S.A., CP Ships (UK) Limited d.b.a. ANZDL and d.b.a. Contship Containerlines, Crowley Liner Services, Inc., Dole Ocean Cargo Express, Inc., Hamburg Sud, Hapag-Lloyd Container Linie, King Ocean Central America S.A., King Ocean Service De Colombia S.A., King Ocean Service De Venezuela S.A.,

Lykes Lines Limited, LLC, Montemar Maritima S.A.,

Nippon Yusen Kaisha,

Norasia Container Line Limited,

Tecmarine Lines, Inc.,

TMM Lines Limited, LLC,

Tropical Shipping & Construction Co., Ltd.,

Wallenius Wilhelmsen Lines AS.

Synopsis: The proposed amendment adds Nippon Yusen Kaisha as a party to the agreement and deletes Far Eastern Shipping Company as a party to the agreement.

Agreement No.: 011798.

Title: Atlantic Space Charter Agreement.

Parties:

Hapag-Lloyd Container Linie GmbH, Nippon Yusen Kaisha, Orient Overseas Container Line Limited, Orient Overseas Container Line Inc.,

Orient Overseas Container Line (UK) Ltd.,

P&O Nedlloyd Limited,

P&O Nedlloyd BV,

Lykes Lines Limited, LLC,

TMM Lines Limited, LLC,

COSCO Container Lines Company, Ltd.,

Hanjin Shipping Co., Ltd.,

Kawasaki Kisen Kaisha, Ltd.,

YangMing (UK) Ltd.

Synopsis: The proposed agreement establishes a vessel-sharing agreement among the parties in the trade between Miami, New Orleans, and Houston, on the one hand, and ports in North Europe, on the other.

Agreement No.: 201098-002.

Title: New Orleans/Carnival Terminal Agreement.

Parties: The Board of Commissioners of the Port of New Orleans Carnival Corporation.

Synopsis: The proposed amendment is a restatement of the original agreement and also includes provisions for an expanded terminal. The agreement now is to run through November 26, 2007.

Dated: April 12, 2002.

By Order of the Federal Maritime Commission.

Theodore A. Zook,

Assistant Secretary.

[FR Doc. 02-9366 Filed 4-17-02; 8:45 am]

BILLING CODE 6730-01-P

FEDERAL MARITIME COMMISSION

[Docket No. 02-06]

Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines; Possible Violations of Section 10(a)(1) of the Shipping Act; of 1984; Notice of Investigation and Hearing

Notice is given that, on April 5, 2002, the Federal Maritime Commission ("Commission") served an Order of Investigation and Hearing on Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines ("Hudson").

Hudson holds itself out as a non-vessel-operating common carrier ("NVOCC"). It appears that Hudson obtained ocean transportation on behalf of other NVOCCs by permitting them to use its service contracts to transport their shipments at lower rates than should have been applicable.

This proceeding seeks to determine whether Hudson violated section 10(a)(1) of the 1984 Act and, in the event violations are found, whether penalties should be assessed and, if so, in what amount and whether a cease and desist order should be issued.

Any person having an interest in participating in this proceeding may file a petition for leave to intervene in accordance with Rule 72 of the Commission's rules of practice and procedure, 46 CFR 502.72.

Bryant L. VanBrakle,

Secretary.

[FR Doc. 02-9370 Filed 4-17-02; 8:45 am]

BILLING CODE 67301-M

FEDERAL MARITIME COMMISSION

Ocean Transportation Intermediary License Reissuance

Notice is hereby given that the following Ocean Transportation Intermediary license has been reissued by the Federal Maritime Commission pursuant to section 19 of the Shipping Act of 1984, as amended by the Ocean

Shipping Reform Act of 1998 (46 U.S.C. app. 1718) and the regulations of the Commission pertaining to the licensing of Ocean Transportation Intermediaries, 46 CFR 515.

License No.	Name/Address	Date Reissued
16183F	AJ International Shipping/Shipping, Inc., 4548 Mundy Road, Jacksonville, FL 32207.	February 6, 2002.

Sandra L. Kusumoto,

Director, Bureau of Consumer Complaints and Licensing.

[FR Doc. 02-9368 Filed 4-17-02; 8:45 am]

BILLING CODE 6736-01-P

FEDERAL MARITIME COMMISSION

Ocean Transportation Intermediary License Revocations

The Federal Maritime Commission hereby gives notice that the following Ocean Transportation Intermediary licenses have been revoked pursuant to section 19 of the Shipping Act of 1984 (46 U.S.C. app. 1718) and the regulations of the Commission pertaining to the licensing of Ocean Transportation Intermediaries, effective on the corresponding date shown below:

License Number: 3594NF.

Name: Indo-China Express, Inc.

Address: 211 Tenth Street, Suite 201, Oakland, CA 94607.

Date Revoked: March 4, 2002.

Reason: Surrendered license voluntarily.

License Number: 4294F.

Name: Louis Espinoza dba Royal International Freight Forwarding Company.

Address: 366 Woodlawn Avenue, Jersey City, NJ 07305-1306.

Da&Revoked: February 8, 2002.

Reason: Failed to maintain a valid bond.

Sandra L. Kusumoto,

Director, Bureau of Consumer Complaints and Licensing.

[FR Doc. 02-9367 Filed 4-17-02; 8:45 am]

BILLING CODE 6736-01-P

FEDERAL MARITIME COMMISSION

Ocean Transportation Intermediary License Applicants

Notice is hereby given that the following applicants have filed with the

Federal Maritime Commission an application for license as Non-Vessel Operating Common Carrier and Ocean Freight Forwarder-Ocean Transportation Intermediary pursuant to section 19 of the Shipping Act of 1984 as amended (46 U.S.C. app. 1718 and 46 CFR 515).

Persons knowing of any reason why the following applicants should not receive a license are requested to contact the Office of Transportation Intermediaries, Federal Maritime Commission, Washington, DC 20573.

Non-vessel Operating Common Carrier Ocean Transportation Intermediary Applicants

Liberty Maritime, 4545 Lovetta, #3503, Spring, TX 77388, Officer: Michael Koch, Partner/Owner, (Qualifying Individual)

Jet Cargo Forwarders International, Inc., 3199 E. 8th Street, Suite C, National City, CA 91950, Officers: Jessie S. Gomez, President, (Qualifying Individual), Remedios F. Gomez, Secretary

Nex-Freight System Inc., 16743 148th Avenue, Jamaica, NY 11434, Officer: Hyeok Namkoong, President, Qualifying Individual

Tug Logistics, Inc., 17979 Arenth Avenue, Bldg. #A, City of Industry, CA 91748 Officer: Robert Hsiang Lin, Wu, President, (Qualifying Individual)

Fortune Logistics Inc., 177-25 Rockaway Blvd., Jamaica, NY 11434, Officers: Alan Lo, President, (Qualifying Individual), Tommy Yu, Vice President

Clarke International Services Inc., 359 N. Oak Street, Inglewood, CA 90302, Officers: John J. Clarke, President, (Qualifying Individual). James F. Clarke, Vice President

Calvary Corp., 9660 Flair Drive, Suite 268, El Monte, CA 91731. Officers: Helen F. Ortiz, CFO, (Qualifying Individual), Frank Wang, President

Non-Vessel Operating Common Carrier and Ocean Freight Forwarder Transportation Intermediary Applicants

Navigational Logistics Inc., 144-24 156th Street, Suite 202, Jamaica NY 11434, Officers: Michael Tsahalidis, President (Qualifying Individual), Matteo Sala, Vice President

Andrews Moving and Storage Company, One Andrews Circle, Brecksville, OH 44141, Officers: C. Keith Extep, Vice President (Qualifying Individual), Thomas T. Marshall, CEO

All World Logistics, Inc. dba Internet Shipping Line, 969 Newark Turnpike, Kearny, NJ 07032, Officers: Motin Nerkis, Vice President (Qualifying Individual), James Delaney Chairman S.T.S. International Freight Forwarders, Inc., 10231 NW 21st Street, Miami, FL 33165 Officers: Maria Teresa Garcia, Secretary, (Qualifying Individual) Samuel Duran, President

Magic Logistics, Inc., 4436 NW 74th Avenue, Miami, FL 33166, Officers: Angela Arias, Director, (Qualifying Individual), Francesca Bazzichelli, President

Ocean Freight Forwarder-Ocean Transportation Intermediary Applicants

Seair International Inc., 147-39 175th Street, Suite 291, Jamaica, NY 11434, Officers: Zi Ping Wang, Vice President (Qualifying Individual), Bhaskar Cacarla, President

Maritime International, Inc., 20 Mingarry Drive, Richmond Hill, GA 31324, Officer: Bruce F. Mccray, President (Qualifying Individual) RWC, Inc., 640 North Fries Avenue, Wilmington, CA 90744, Officer: Robert Cigliano, President (Qualifying Individual)

Dated: April 12, 2002.

Theodore A. Zook,

Assistant Secretary.

[FR Doc. 02-9369 Filed 4-17-02; 8:45 am]

BILLING CODE 6736-01-P